IDBI Capital Markets & Securities Limited

October 22, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Long-term bank facilities	RBI	100.00	CARE AA- (RWD)	Placed on Rating Watch with Developing Implications
Short-term bank facilities	RBI	100.00	CARE A1+ (RWD)	Placed on Rating Watch with Developing Implications
Commercial paper	SEBI	200.00	CARE A1+ (RWD)	Placed on Rating Watch with Developing Implications

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Ratings to the debt facilities of IDBI Capital Markets & Securities Limited (ICMSL) have been placed on 'Rating Watch with Developing Implications' following the Government of India's announcement that 10955230 Canada Inc., a subsidiary of Fairfax Financial Holdings Ltd. (Fairfax), has been selected as the strategic buyer for 60.72% stake in IDBI Bank (rated 'CARE A1+'), which is the parent company of ICMSL. The consummation of the transaction remains subject to approval from the Reserve Bank of India (RBI), with Fairfax required to satisfy the regulator's fit and proper criteria and comply with prescribed regulatory conditions. Considering Fairfax's presence and investment in multiple Indian entities in the banking, financial services, and insurance (BFSI) segment, the transaction would require multiple regulatory and other approvals. CARE Ratings Limited (CareEdge Ratings) would continue to closely monitor the developments in this regard and its impact on the credit profile of ICMSL and would take suitable rating action accordingly. Rating watch will be resolved once greater clarity emerges on support philosophy of the incoming promoter of IDBI Bank towards ICMSL and on strategic importance of ICMSL in Fairfax' Indian operations.

Ratings continues to favourably factor in its status as a wholly owned subsidiary of IDBI Bank, and its linkages with IDBI Bank, where it provides the bank's customers access to a broader suite of capital market and investment products. Ratings further factor in managerial and operational linkages with the parent, shared resources, integrated customer base, and shared brand identity. Ratings also derive strength from ICMSL's experienced management team, long-standing track record in capital markets segment, and adequate risk management systems. Ratings also consider adequate capitalisation with low gearing and stable liquidity position.

However, rating strengths are partially offset by inherent risk in the broking business due to high dependence on capital markets resulting in income volatility. Ratings also consider ICMSL's moderate profitability, its relatively smaller size and market share, and increasing competition in the sector.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Improvement in credit profile of the parent, IDBI Bank.
- Improvement in standalone financial risk profile of the company with significant scale up of operations.

Negative factors: **Factors that could individually or collectively lead to negative rating action/downgrade:**

- Weakening of the parent's credit profile and/or change in ownership structure, resulting in dilution in support philosophy of the parent.
- Inability to scale up operations with decline in market share and volumes, adversely impacting its overall profitability levels on a sustained basis.

Analytical approach: Standalone

ICMSL has been assessed on standalone financials, factoring in its strong linkages with its parent, IDBI Bank Limited. CareEdge Ratings will engage with the incoming promoter of the parent, Fairfax, to understand its support philosophy towards ICMSL and its strategic importance in Fairfax's Indian operations once the acquisition process is complete.

Outlook: Not applicable

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Parentage and support from IDBI Bank by way of operational and managerial linkages and benefit of financial flexibility in fund raising

ICMSL is a wholly owned subsidiary of IDBI Bank. The group has extended IDBI Bank's brand identity with ICMSL. The company also enjoys managerial and operational linkages, and oversight with the parent bank. ICMSL is expected to receive financial and operational support from the bank, when needed. ICMSL's Board of Directors has strong representation from the bank with Rakesh Sharma (Managing Director and Chief Executive Officer; MD and CEO of IDBI Bank) being the Chairman of the Board, Sumit Phakka (Deputy Managing Director; DMD of IDBI Bank) and Raj Kishore Singh (MD and CEO of ICMSL), having over 25 years of experience in IDBI Bank and has been deputed from the bank.

ICMSL's operations are run by a professional senior management team having extensive experience in the banking and financial services sector. The company has access to the established customer base and franchise of the bank, business synergies, which allows the group to offer a full bouquet of financial services. ICMSL benefits from widespread presence of IDBI Bank across the nation with diverse clientele base, which helps ICMSL get leads for its business.

CareEdge Ratings further notes that LIC and GOI are in the process to sell 60.72% stake in IDBI Bank to Fairfax Financial Holdings including handover of management control in the bank, where necessary regulatory approvals are awaited.

Diversified business profile

ICMSL has a diversified business profile and offers products and services to corporate, institutional, and individual clients in the capital market and non-capital market segments. The company has a range of services within the capital market segment, which include investment banking, institutional stock broking, and retail broking. Activities in non-capital market segments are corporate advisory services, project appraisal, debt syndication and advisory, debt resolution, distribution of financial products, debt placement and underwriting, fund management, and research services.

In FY26, ~51% (PY: 39%) of the company's total income was through investment banking segment, while ~39% (PY: 46%) was through institutional and retail broking segment, and the balance ~10% (PY: 15%) constituted income from MF redemptions, and treasury among others.

Comfortable capital position with low gearing levels

The company's tangible net worth (TNW) stood at ~₹442 crore as on March 31, 2026 (~₹404 crore as on March 31, 2025) with its overall gearing (including non-fund-based facilities) remaining low at 0.26x (PY: 0.28x). Since the company started margin trading facility (MTF) funding from FY20, and the company utilises borrowings to fund the MTF book, overall gearing is expected to go up; subject to Board approved limit of ₹200 crore (including borrowing for MTF and working capital borrowings) for fund-based borrowings. The company also has board approved limit of ₹100 crore for non-fund-based facilities, which the company uses for maintenance of margins with stock exchanges. As on September 30, 2026, the company has non-fund-based facilities of ₹65 crore and outstanding commercial paper (CP) of ₹123.56 crore.

Key weaknesses

Financial risk profile impacted by moderate profitability and small size of operations

In FY26, ICMSL's broking income decreased from ~₹65 crore in FY25 to ~₹60 crore and income from investment banking increased from ~₹47 crore to ~₹78 crore, which resulted in the company reporting profits of ~₹40 crore in FY26 against profit after tax (PAT) of ~₹33 crore in FY25.

In H1FY27, the company reported a PAT of ~₹23 crore majorly due to increase in broking income and interest on MTF. As on March 31, 2026, the company's active clients per NSE stood 58,927 and it grew from 57,495 as on March 31, 2025. The company's turnover also increased from ~₹41,894 crore in FY25 to ~₹43,764 crore in FY26. ICMSL continues to be a bank owned stockbroker with small scale of operations. CareEdge Ratings' expects the company to scale up its business in MTF, while increasing its brokerage income and maintaining operating costs, which will help improve its profitability. However, considering low margin and high competition, it is expected to remain moderate in the near term.

Susceptibility towards regulatory changes

Capital market industry witnessed continuous regulatory revisions. To further enhance transparency levels and limit misuse, Securities and Exchange Board of India (SEBI) introduced a few regulations in the last few years. In October 2024, SEBI introduced

multiple measures to curb retail participation, which became effective in a phase-wise manner between November 2024 and April 2025. These measures include reduction in derivatives with weekly expiry, which was highest F&O contributor, increase in lot size and increase in extreme loss margin by 2% on short options contracts on their expiry day. Other measures included upfront collection of option premiums and removal of Calendar Spread Treatment on Expiry Day.

Through its amended directions dated February 13, 2026 (effective July 01, 2026), the Reserve Bank of India (RBI) introduced a comprehensive framework governing bank credit to capital market intermediaries, including stockbrokers. Revised norms mandate fully collateralised lending, prescribe higher collateral quality (with significant cash components), and impose minimum haircuts, particularly on equity securities. The bank funding for proprietary trading has been restricted, while margin trading facilities are required to be backed by high-quality liquid collateral. The framework also brings such exposures under stricter monitoring and concentration limits. These measures are expected to increase funding costs and necessitate stronger capitalisation and liquidity management across brokers to varying levels.

CareEdge Ratings will continue to monitor ICMSL's ability to adapt technology, systems, and risk management processes in response to the constantly evolving regulatory landscape without adverse impact on its overall business profile.

Presence in inherently volatile and competitive broking business

ICMSL's earning profile depends on capital market activities and overall trading volumes, which are inherently volatile. Income from brokerage accounts for ~36% of total income and income from Investment banking services, which accounted for ~46% of the total income in FY26, includes IPO fund raising, qualified institutional placements, offer for sale, and rights issue, among others, which also depend on the capital market segment. Income from MTF, distribution of the third-party products such as mutual funds, insurance, bonds, FDs, and IPOs provide diversification to the overall revenue.

The company is exposed to intense competitive pressures in the brokerage industry with zero brokerage firms seizing market share from entrenched players. Thus, the company's ability to add more active clients going forward with prevalent competition from zero brokerage firms is critical for its growth.

Liquidity: Adequate

ICMSL's funding requirements are largely towards maintaining margin with stock exchanges and for its MTF business. Margin requirements are largely met through bank guarantees (BGs), which are backed by fixed deposits, and for MTF business, the company usually borrows in the form of CP. As on September 30, 2026, ICMSL had unencumbered cash and bank balance of ₹59.09 crore, liquid equity investments of ₹36.07 crore and ₹45 crore in unutilised bank lines, against outstanding CP of ₹88.83 crore. Comfort is also derived from ICMSL's strong financial flexibility given its status as a subsidiary of IDBI Bank.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria

Definition of Default
Rating Outlook and Rating Watch
Financial Ratios – Financial Sector
Factoring Linkages Parent Sub JV Group
Broking Firms
Short Term Instruments

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Capital markets	Stockbroking & allied

Incorporated on December 14, 1993, ICMSL is a wholly owned subsidiary of IDBI Bank (rated 'CARE A1+'). The company is registered as a merchant banker, stockbroker, depository participant, portfolio manager, and research entity with the SEBI. ICMSL offers a full suite of products and services ranging from investment banking, corporate advisory services, retail and institutional stock broking, distribution of financial products, portfolio management, and research services.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	H1FY27 (UA)
Total income	144	169	84
Profit after tax (PAT)	33	40	23
Tangible net-worth	404	442	459
Loan book (margin trading facility)	65	97	166
Overall Gearing* (x)	0.28	0.26	0.42
Cost-to-income (%)	69.01	63.83	62.68
Return on net-worth (RONW) (%)	8.59	9.43	10.18

A: Audited; UA: Unaudited; Note: these are latest available financial results
*including non-fund-based limits

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE835F14195	07-08-2026	8.00%	06-11-2026	50.00	CARE A1+ (RWD)
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE835F14203	31-08-2026	7.90%	30-11-2026	50.00	CARE A1+ (RWD)
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE835F14211	09-09-2026	7.75%	14-12-2026	25.00	CARE A1+ (RWD)
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	Proposed	-	-	-	75.00	CARE A1+ (RWD)
Fund-based - LT-Bank Overdraft	RBI	NA	-	-	-	-	75.00	CARE AA- (RWD)
Fund-based - LT-Bank Overdraft	RBI	NA	Proposed	-	-	-	25.00	CARE AA- (RWD)
Non-fund based-Short Term	RBI	NA	-	-	-	-	100.00	CARE A1+ (RWD)

Commercial papers with ISIN INE835F14112, INE835F14120, and INE835F14138 have been redeemed on maturity.

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Non-fund-based-Short Term	ST	100.00	CARE A1+ (RWD)	-	1)CARE A1+ (06-Jan-26) 2)CARE A1+ (07-Oct-25)	1)CARE A1+ (25-Oct-24) 2)CARE A1+ (07-Oct-24)	1)CARE A1+ (08-Jan-24)

2	Fund-based - LT-Bank Overdraft	LT	100.00	CARE AA- (RWD)	-	1)CARE AA-; Stable (06-Jan-26) 2)CARE AA-; Stable (07-Oct-25)	1)CARE AA-; Stable (25-Oct-24) 2)CARE AA-; Stable (07-Oct-24)	1)CARE A+; Stable (08-Jan-24)
3	Commercial Paper-Commercial Paper (Standalone)	ST	200.00	CARE A1+ (RWD)	-	1)CARE A1+ (06-Jan-26) 2)CARE A1+ (07-Oct-25)	1)CARE A1+ (25-Oct-24) 2)CARE A1+ (07-Oct-24)	1)CARE A1+ (08-Jan-24)

LT: Long term; ST: Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact	Analytical Contacts
Mradul Mishra Director **CARE Ratings Limited** Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in	Vineet Jain Senior Director **CARE Ratings Limited** Phone: +91 22 6754 3623 E-mail: vineet.jain@careedge.in
Relationship Contact Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Priyesh Ruparelia Director **CARE Ratings Limited** Phone: +91-22-6754 3593 E-mail: Priyesh.ruparelia@careedge.in Aditya R Acharekar Associate Director **CARE Ratings Limited** Phone: +91 22- 6754 3528 E-mail: aditya.acharekar@careedge.in

About us:

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